

02:00 PM

25-CIV-03534 JOSH RAFFAELLI VS. BROOKFIELD ASSET MANAGEMENT LLC, ET AL

LINE 8

JOSH RAFFAELLI
BROOKFIELD ASSET MANAGEMENT LLC

MARK MERMELSTEIN
JOSH A. COHEN

DEFENDANTS' DEMURRER TO PLAINTIFF'S THIRD AMENDED COMPLAINT

TENTATIVE RULING:

Defendants' Demurrer to Plaintiff's Third Amended Complaint ("TAC") is OVERRULED, except as to the the Twelfth Cause of Action for Civil Theft Under Cal. Penal Code Section 496, which is SUSTAINED WITH LEAVE TO AMEND pursuant to Code Civ. Proc. Section 430.10 subd. (e), for the reasons described below.

Defendants' Request for Judicial Notice is GRANTED pursuant to Evidence Code Section 452 subd. (h).

The term "Brookfield is used in Plaintiff Josh Raffaelli's Third Amended Complaint ("TAC") to collectively refer to BROOKFIELD ASSET MANAGEMENT LLC, a Delaware limited liability company, BROOKFIELD ASSET MANAGEMENT LTD., a Canadian corporation, BROOKFIELD CORPORATION, a Canadian corporation, BROOKFIELD BUSINESS PARTNERS L.P., a Bermuda limited partnership, BROOKFIELD TECHNOLOGY PARTNERS II OFFICER GP LLC, a Delaware limited liability company, BROOKFIELD TECHNOLOGY GROWTH PARTNERS III OFFICER GP LLC, a Delaware limited liability company, BROOKFIELD TECHNOLOGY GROWTH PARTNERS III ANNEX GP L.P., a Delaware limited partnership, and BROOKFIELD CORPORATE TREASURY LTD., a Canadian corporation. (TAC, at p. 3:2-10.) BROOKFIELD ASSET MANAGEMENT LTD. ("BAM") is a Canadian corporation. (TAC, ¶16.)

"On or about October 5, 2024, Raffaelli filed an anonymous complaint within Brookfield internal whistleblowing platform, in keeping with Brookfield's Whistleblowing policy." (Id., ¶145.) Then, "...on November 1, 2024, Raffaelli filed a whistleblower complaint with the Securities and Exchange Commission ("SEC")." (Id., at ¶147.) Plaintiff alleges that Brookfield then offered him "a present-day payout of his projected carried interest [in the amount of \$46 million], at no market risk and no present value discount, if he would only agree to lie to their investors (and his clients) about why moving Funds 2 and 3 to Pinegrove was a good idea." (Id., at ¶151.)

Plaintiff informed BAM's counsel on November 22, 2024 that he had filed a whistleblower complaint with the SEC. (Id., at ¶155.) Plaintiff received an email on December 1, 2024 stating that "the firm has decided to effectuate now the termination of your employment in connection with the Pinegrove transaction...effective as of Monday, December 2, 2024." (Id., at ¶170.)

Third Cause of Action for Unfair Business Practices

To state a claim for violation of California's Unfair Competition Law ("UCL"), a plaintiff must establish: (1) that the defendant engaged in a business act or practice falling within at least one of three prongs — unlawful, unfair, or fraudulent — and (2) that the plaintiff has standing by having suffered injury in fact and lost money or property as a result of the unfair competition. (Bus. & Prof. Code sections 17200, 17204.)

Defendants contend that Plaintiff's UCL claim fails because it is pled in conclusory fashion against all Defendants, the UCL's protections do not extend to securities transactions, Plaintiff does not allege that his injuries were caused by the unfair business practices, and Plaintiff cannot seek the only remedies available under the UCL, restitution or injunctive relief. As to the first point, Plaintiff responds that the TAC specifically alleges misconduct by each defendant, including allegations at paragraphs 54-55 that Brookfield was lying to investors in Fund 2 about compensation, at paragraph 101 that Brookfield and Pinegrove executed anticompetitive agreements harming Brookfield's investors, at paragraphs 103-105, 108-109, and 116-129 that "Brookfield and Ranjan covertly planned (and sought Raffaelli's participation in its scheme) to merge Raffaelli's Funds into Pinegrove" while misleading investors and declining beneficial investments, at paragraph 176 against Sammut regarding improper diversion of resources, and at paragraphs 138-141, 147-48, 150, 221 that Pinegrove misled investors about the strength of its fundraising success. Those specific allegations against individual defendants are sufficient to establish something more than conclusory allegations against all defendants.

With respect to the UCL not applying to securities transactions, the TAC alleges violations of Section 206 and Rule 206(4)-8 of the Investment Advisers Act of 1940 and common law financial fraud at paragraph 211. Such violations are not limited to securities transactions, but include conduct such as fraudulent, deceptive, or manipulative acts, or an advisor violating their fiduciary duty through false or misleading statements or omissions of material fact, while acting with scienter. Application of the UCL in this context therefore is not barred by the rule that bars lawsuits based on deceptive conduct in the sale and purchase of securities. (*Overstock.com, Inc. v. Gradient Analytics, Inc.* (2007) 151 Cal.App.4th 688, 715.)

With respect to Defendants' contention that the TAC does not allege that Plaintiff's injuries were caused by unfair business practices, Plaintiff alleges that prior to his termination he was financially intentionally harmed as a result of Defendants' purposeful mismanagement underlying the UCL claim. (TAC, ¶¶10, 103-105, 108-109, 116-129, 138-141, 147-48, 150, 221.) The TAC also alleges Plaintiff's entitlement to restitution in the form of unpaid carried interest. (Id., at ¶¶210, 308-09.) It therefore adequately alleges a claim for violation of the UCL.

The Demurrer to this cause of action is accordingly OVERRULED.

Fourth Cause of Action for Breach of Contract/ Fifth Cause of Action for Breach of The Implied Covenant

A cause of action for breach of contract requires four essential elements: (1) the existence of a contract, (2) plaintiff's performance of the contract or excuse for nonperformance, (3) defendant's breach of the contract, and (4) resulting damages to the plaintiff. (*Coyote Aviation Corp. v. City of Redlands* (2025) 111 Cal.App.5th 955; *Naranjo v. Doctors Medical Center of Modesto, Inc.* (2025) 111 Cal.App.5th 408.)

Under California law, every contract contains an implied covenant of good faith and fair dealing. (*Guz v. Bechtel Nat. Inc.* (2000) 24 Cal.4th 317, 326.) To prevail on a claim for breach of this implied covenant, in addition to pleading the existence of a contract, a plaintiff must plead that the defendant's conduct

prevented the plaintiff from receiving the benefits under the contract, that the defendant did not act fairly and in good faith, and that the defendant's conduct harmed the plaintiff. (*Id.*; *Ojeh v. Brown* (2019) 43 Cal.App.5th 1027; *Careau & Co. v. Security Pacific Business Credit, Inc.* (1990) 222 Cal.App.3d 1371.)

Defendants argue that Plaintiff has not adequately alleged a claim for breach of contract because the TAC does not attach the Employment Agreement and Award Letters, set out their terms, plead their legal effect, or identify specific provisions that were breached. The TAC alleges that Defendant Brookfield made commitments to Plaintiff including:

“[A]n annual target cash bonus of up to 50% of his salary and participation in Brookfield's long term incentive plan (“LTIP”). The LTIP awards – paid in the first quarter of each fiscal year related to performance in the prior fiscal year and vested evenly over 5 years in arrears – comprised an option to purchase (annually) Class A Limited Voting Shares of Brookfield and participation in the performance of the investments made in Brookfield's first venture capital fund (“VC Fund LTIP”)” and ““carried interest” based on the performance of funds he would be launching...”

(TAC, ¶41.)

These factual allegations set out the terms governing Plaintiff's employment which he alleges were breached. Defendants then argue that Plaintiff's contract claim fails because it is not based on any promise contained in the Employment Agreement and Award Letters. The Employment Agreement includes the language under “Long-term Incentive Plan” that:

Along with other members of the management team of the Venture Capital group, you will be eligible to participate in Brookfield's long-term incentive plan(s) (“LTIP(s)”). Initially, it is expected that your annual awards will be in the form of a combination of options to purchase Class A Limited Voting Shares of Brookfield Asset Management Inc. (“Options”) and participation in the performance of the investments made in Brookfield's first venture capital fund (“VC Fund LTIP”). Currently, Options are subject to the terms of the Company's Management Share Option Plan and have a ten year life. The VC Fund LTIP is still under development. The intention is to create a notional fund, with market terms consistent with that of a new fund. Your annual award will be in the form of a notional sharing in the notional performance fee paid by investors.

(RJN, Exh. 1.)

The Award Letters confirm that Plaintiff was awarded “US\$3,750,000 of capital at work in Brookfield Technology Partners II (BTP II) (your “2021 Award”)” and “Capital at Work of \$19,200,000 reflecting an aggregate of the awards made in respect of each fiscal year of the award period” for grant years 2023 through 2026 with the caveat that “[y]our actual percentage participation will be determined following the final close of the fund; if the capital raised is different than \$1B, your percentage will be amended pursuant to the terms of the Partnership Agreement. (RJN, Exhs. 2, 3.)

Defendants' position amounts to arguing that no matter what Plaintiff should have been entitled to in accordance with participation in Brookfield's LTIP's, Plaintiff cannot state a claim for breach of the agreement under any circumstances because the agreement only says he is eligible to participate in the LTIP's, and the Award Letters state only that he is entitled to a percentage participation, but not what the capital amount will be. The allegation that Defendant committed to Plaintiff's participation in LTIP's does not conflict with the language of the agreement. Likewise, the Employment Agreement's silence as

to the amount of carried interest that Plaintiff is entitled to under the LTIP's does not conflict with the allegation that he was entitled to carried interest, as is confirmed by the Award Letters. These allegations, in conjunction with allegations of breach of fiduciary duties with respect to management of the funds relevant to the LTIP's, adequately support breach of contract. The allegations also support the claim for breach of the implied covenant of good faith and fair dealing.

The demurrer on the basis of the alleged oral contract being insufficient need not be reached since the cause of action is adequately supported on the theory of breach of written contract and so is not subject to demurrer. However, the allegations at paragraph 214 of the TAC are not so vague that they cannot support a contractual right, and Plaintiff's continuation of his job duties is sufficient to act as consideration for the alleged promise.

The demurrer to these causes of action is accordingly OVERRULED.

Sixth Cause of Action for Intentional Interference with Contractual Relations/Seventh Cause of Action for Intentional Interference with Prospective Economic Advantage

A cause of action for intentional interference with contractual relations requires five essential elements: (1) a valid contract between the plaintiff and a third party; (2) the defendant must have knowledge of that contract; (3) the defendant must commit intentional acts designed to induce a breach or disruption of the contractual relationship; (4) there must be actual breach or disruption of the contractual relationship; and (5) the plaintiff must suffer resulting damages. (*Pech v. Doniger* (2022) 75 Cal.App.5th 443.) It is generally not necessary that the defendant's conduct be wrongful apart from the interference with the contract itself. (*Ixchel Pharma, LLC v. Biogen, Inc.* (2020) 9 Cal.5th 1130.)

Similarly, a cause of action for intentional interference with prospective economic advantage requires five essential elements: (1) an economic relationship between plaintiff and some third party with the probability of future economic benefit to plaintiff; (2) defendant's knowledge of the relationship; (3) intentional acts on the part of defendant designed to disrupt the relationship; (4) actual disruption of the relationship; and (5) economic harm to plaintiff proximately caused by defendant's acts. (*Golden Eagle Land Investment, L.P. v. Rancho Santa Fe Assn.* (2018) 19 Cal.App.5th 399; *ZF Micro Solutions, Inc. v. TAT Capital Partners, Ltd.* (2022) 82 Cal.App.5th 992.) Additionally, the plaintiff must demonstrate that defendant's conduct was independently wrongful, meaning it was proscribed by some constitutional, statutory, regulatory, common law, or other determinable legal standard. (*Winchester Mystery House, LLC v. Global Asylum, Inc.* (2012) 210 Cal.App.4th 579; *SC Manufactured Homes, Inc. v. Liebert* (2008) 162 Cal.App.4th 68.) Regarding the intent element, it is not necessary to prove defendant acted with specific intent to disrupt plaintiff's prospective economic advantage; rather, it is sufficient to show defendant knew interference was certain or substantially certain to occur as a result of the action. (*Winchester Mystery House, LLC*, 210 Cal.App.4th at 596.)

Defendants argue that Defendants Ranjan and Sammut are immune from liability for the intentional interference claims as agents and managers of certain Brookfield entities. Such immunity turns on factual circumstances regarding the defendants' scope of authority and motivations, and therefore is not appropriately resolved on demurrer in light of the allegations of the TAC appearing in paragraphs 137, 175, 179. The TAC's factual allegations at paragraphs 236-237 and 244-245 provide sufficient allegations that Plaintiff would have received compensation but for the alleged interference. The TAC also alleges that Plaintiff had specific economic relationships with identified investors that Defendants discouraged. The relationships are alleged to have been with investors brought to Brookfield solely because of Plaintiff. (TAC, ¶¶ 78, 215, 229.) As discussed above with respect to the breach of contract

claim, Plaintiff alleges an interest in carried interest which would have been owed to him personally, and not to Brookfield. The allegations against Defendants BAM, BN, and BBU are alleged to have been made through agents Defendants Ranjan and Sammut, and so are sufficient at the demurrer stage. The intentional interference claims are therefore adequately alleged.

The Demurrer to these causes of action is accordingly OVERRULED.

Eighth Cause of Action for Unjust Enrichment/Ninth Cause of Action for Quantum Meruit

While there is no cause of action in California labeled Unjust Enrichment, “[c]ommon law principles of restitution require a party to return a benefit when the retention of such benefit would unjustly enrich the recipient; a typical cause of action involving such remedy is ‘quasi-contract’” [Citations]” and “The elements of a cause of action [based on] unjust enrichment are simply stated as ‘receipt of a benefit and unjust retention of the benefit at the expense of another.’”.) “Whether termed unjust enrichment, quasi-contract, or quantum meruit, the equitable remedy of restitution when unjust enrichment has occurred ‘is an obligation (not a true contract [citation]) created by the law without regard to the intention of the parties’” (City of Oakland v. Oakland Raiders (2022) 83 Cal.App.5th 458, 477-477.)

Quantum meruit refers to the well-established principle that the law implies a promise to pay for services performed under circumstances disclosing that they were not gratuitously rendered. (Clarke v. Yu (2026) 119 Cal.App.5th 199.) A quantum meruit cause of action requires two essential elements: (1) the plaintiff acted pursuant to an explicit or implicit request for services by the defendant, and (2) the services conferred a benefit on the defendant. (Port Medical Wellness, Inc. v. Connecticut General Life Insurance Company (2018) 24 Cal.App.5th 153; Nissanoff v. UnitedHealthcare Ins. Co. (2024) 108 Cal.App.5th Supp. 1.) A properly pleaded quantum meruit complaint states that plaintiff performed certain services for defendant, alleges their reasonable value, and alleges that they were rendered at the special instance and request of defendant but were not paid for. (Haggerty v. Warner (1953) 115 Cal.App.2d 468; Brown v. Crown Gold Milling Co. (1907) 150 Cal. 376.)

Defendants argue that these causes of action must be pled in the alternative if he alleges a basis to question the validity of the agreements supporting his claim for breach of contract. They also argue that the TAC does not allege a benefit to Brookfield. The pleading can be read liberally to interpret the causes of action as being alleged in the alternative to the breach of contract claims. The TAC sufficiently alleges that Brookfield received management fees and carried interest. The issue of the scope of Plaintiff’s preexisting duties presents factual questions that are not appropriately resolved on demurrer.

The demurrer to these causes of action is accordingly OVERRULED.

Tenth Cause of Action for Breach of Fiduciary Duty/Eleventh Cause of Action for Aiding and Abetting Breach of Fiduciary Duty

The elements of a cause of action for breach of fiduciary duty are (1) the existence of a fiduciary relationship; (2) breach of fiduciary duty; and (3) damages. (Oasis West Realty, LLC v. Goldman (2011) 51 Cal.4th 811, 820.) A fiduciary relationship “ordinarily arises where a confidence is reposed by one person in the integrity of another, and in such a relation the party in whom the confidence is reposed, if he voluntarily accepts or assumes to accept the confidence, can take no advantage from his acts relating to the interest of the other party without the latter’s knowledge or consent. [Citations.]” (Hodges v. County of Placer (2019) 41 Cal.App.5th 537, 546-547.) A breach of fiduciary duty can be grounded in either

negligence or fraud, depending on the circumstances of the case. (*Tribeca Companies, LLC v. First American Title Ins. Co.* (2015) 239 Cal.App.4th 1088.)

A plaintiff asserting a claim for aiding and abetting breach of fiduciary duty must establish four elements: (1) a third party's breach of fiduciary duties owed to the plaintiff; (2) the defendant's actual knowledge of that breach; (3) substantial assistance or encouragement by the defendant to the third party's breach; and (4) the defendant's conduct was a substantial factor in causing harm to the plaintiff. (*Nasrawi v. Buck Consultants LLC* (2019) 231 Cal.App.4th 328; *Casey v. U.S. Bank Nat. Assn.* (2005) 127 Cal.App.4th 1138.)

Defendant argue that Plaintiff lacks standing to assert a breach of fiduciary duty claim because it concerns reduced Fund performance and a resulting reduced carried-interest pool. However, the TAC alleges that Plaintiff was individually harmed by lost carried interest, and therefore alleges a basis for standing. Defendants then argue that the TAC's allegations at ¶¶ 280-84 of promises by Defendant Rajan do not suffice to create a fiduciary relationship because the right to contingent compensation in the control of another is insufficient to create a fiduciary relationship. However, the allegations contained therein contain promises to "take care" of Plaintiff that go beyond control over compensation. The challenges to the claim for aiding and abetting present factual questions not appropriate for resolution on demurrer.

The demurrer to these causes of action is accordingly OVERRULED.

Twelfth Cause of Action for Civil Theft Under Cal. Penal Code Section 496

California courts have distilled the elements required to establish a civil violation of Penal Code Section 496 subd. (a) into three core requirements. As articulated in *Switzer v. Wood*, drawing on *Lacagnina v. Comprehend Systems, Inc.* (2018) 25 Cal.App.5th 955, the elements are: (i) property was stolen or obtained in a manner constituting theft; (ii) the defendant knew the property was so stolen or obtained; and (iii) the defendant received or had possession of the stolen property. (*Switzer v. Wood* (2019) 35 Cal.App.5th 116.) The statute also covers defendants who concealed, sold, withheld, or aided in concealing or withholding stolen property from the owner with the requisite knowledge. Beyond these three core elements, a plaintiff must additionally establish: (iv) standing/injury, i.e. that the plaintiff was personally injured by the defendant's violation of Section 496 subd. (a) or (b); and (v) actual damages, i.e. that the plaintiff sustained actual damages as a result, which then serve as the basis for the treble damages calculation. (Cal. Penal Code Section 496 subd. (c).)

Here, the contingent carried interest that Plaintiff alleges was stolen is not alleged to have been obtained in a manner constituting theft. The demurrer to this cause of action is accordingly SUSTAINED WITH LEAVE TO AMEND.

Thirteenth Cause of Action for Declaratory Judgment

To successfully allege a cause of action for declaratory judgment a plaintiff must allege (1) a proper subject of declaratory relief, and (2) an actual controversy involving justiciable questions relating to the rights or obligations of a party. (*Childhelp, Inc. v. City of Los Angeles* (2023) 91 Cal.App.5th 224.) The complaint is legally sufficient if it sets forth facts showing the existence of an actual controversy relating to the legal rights and duties of the respective parties and requests that these rights and duties be adjudged by the court. (*Id.*) Under Code Civ. Proc. § 1060, any person interested under a written instrument or

contract, or who desires a declaration of rights or duties with respect to another or property, may bring an action in cases of actual controversy relating to the legal rights and duties of the respective parties.

The TAC alleges a controversy related to the terms of Plaintiff's employment agreement. The demurrer to this cause of action is accordingly OVERRULED.

Any party who contests a tentative ruling must email Dept.11@sanmateocourt.org with a copy to all other parties by 4:00 p.m. stating, without argument, the portion(s) of the tentative ruling that the party contests.

If the tentative ruling is uncontested, it shall become the order of the Court. Thereafter, Counsel for the plaintiff shall prepare for the Court's signature a written order consistent with the Court's ruling pursuant to California Rules of Court, rule 3.1312 and provide written notice of the ruling to all parties who have appeared in the action, as required by law and by the California Rules of Court. Please note that Local Rule 3.403(b)(iv) states in part "prevailing party on a tentative ruling is required to prepare a proposed order REPEATING VERBATIM the tentative ruling" (emphasis added). The order should be e-filed only, do not email or mail a hard copy to the Court.

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LINE 9

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DEFENDANTS MOTION FOR A PROTECTIVE ORDER

TENTATIVE RULING:

The tentative ruling for Line 7 is the tentative ruling for this motion and is hereby incorporated by reference.
